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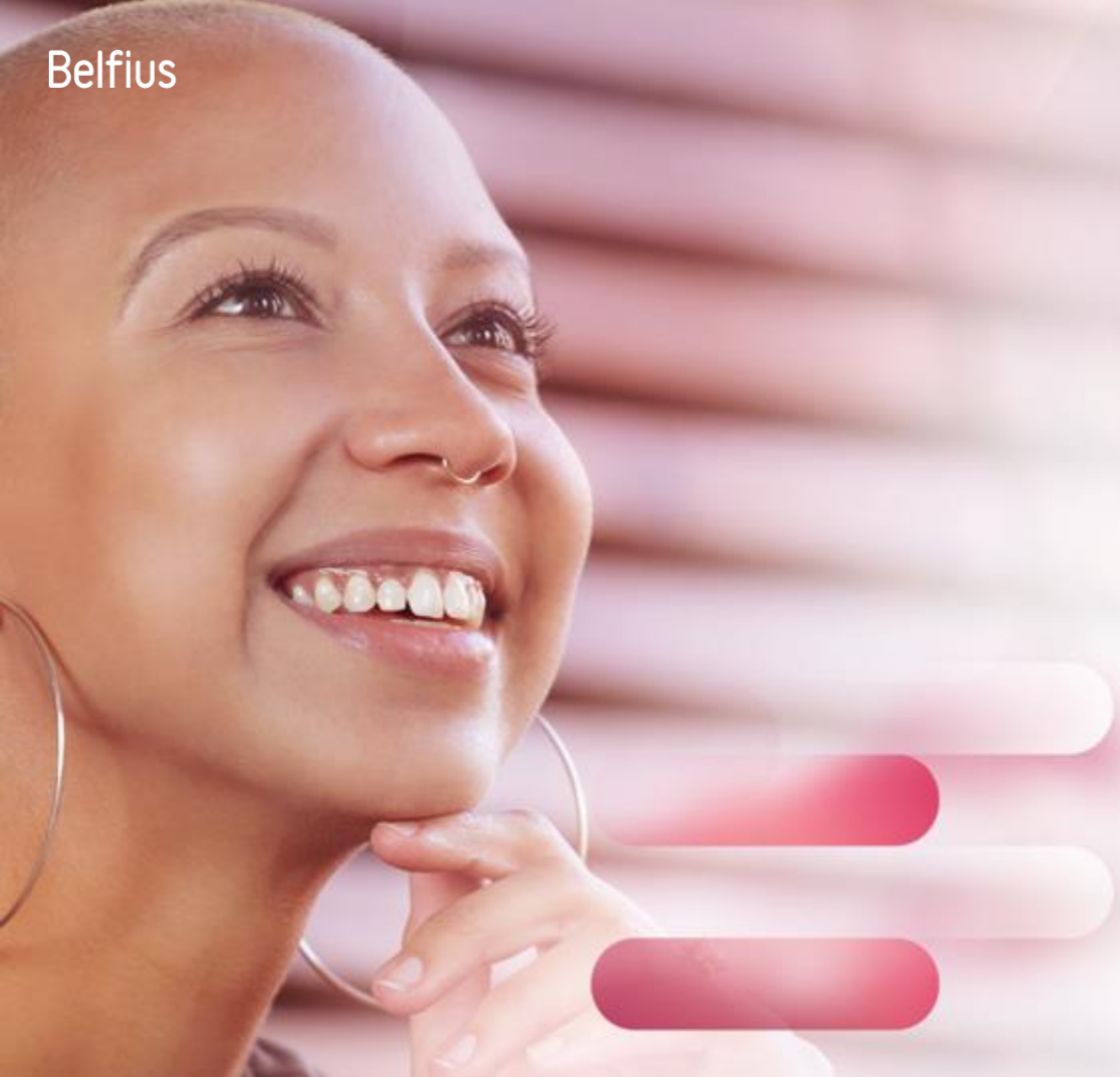

Scamming

Feb 5 2025

Why scams are so successful

Causes:

- How to recognize a scam ?
- People Don’t Believe They Are Susceptible to Scams
- Scammers’ Tactics Can Disrupt Reasoning
- Prevention Messages May Be Quickly Forgotten
- In-The-Moment Warnings Often Fail

How to fix this ?:

- Make Messages Memorable and Actionable, and Give a Reminder
- Convey the Benefits of Heeding the Message
- Consider the Effect of Commonly Held Beliefs and Values
- Educate About Specific Types of Scams and General Tactics
- Optimize the Design and Content of In-The-Moment Warnings

Source: Review of Scam Prevention Messaging Research: Takeaways and Recommendations Scams Against Older Adults Advisory Group Scam Prevention Research Committee Report (April 2024)

Why Scams are so successful ?

Several key challenges

1) people do not believe scams will happen to them;
2) Scammers are good at elevating emotions to disrupt critical thinking;
3) prevention messages tend to be forgotten;
4) even in-the-moment warnings often fail

Strategies to overcome the challenges:

1) make messages memorable and actionable, and give reminders;
2) convey the benefits of heeding the message;
3) consider the effect of commonly held beliefs and values
4) warn about specific types of scams and or general tactics used by scammers; and
5) optimize the design and content of in-the-moment warnings.

How to recognize a scam ?

Scammers PRETEND to be from an organization you know

- Scammers pretend contacting the victim on behalf of the government.
- They might use a real name or make up a name that sounds official.
- Some pretend to be from a business you know, like a utility company, a tech company, or even a charity asking for donations.
- They change the phone number that appears on your caller ID.

Scammers say there's a PROBLEM or a PRIZE.

They say you're in trouble with the government. Or you owe money. Or someone in your family had an emergency. Or that there's a virus on your computer.

Some scammers say there's a problem with one of your accounts and that you need to verify some information.

Others will lie and say you won money in a lottery or sweepstakes but have to pay a fee to get it.

Scammers PRESSURE you to act immediately.

- Scammers press you to act before you have time to think.
- On the phone, they might tell you not to hang up so you can't check out their story.
- They threaten to arrest you, sue you, take away your driver's or business license, or deport you.
- They say your computer is about to be corrupted.

Scammers tell you to PAY in a specific way.

- They often insist that you can only **pay by using cryptocurrency, wiring money through a company like MoneyGram or Western Union**, using a payment app, or putting money on a gift card and then giving them the numbers on the back of the card.
- Some will send you a check (that will later turn out to be fake), then tell you to deposit it and send them money.

People Don't Believe They Are Susceptible to Scams

People often think they are less likely to experience a negative event than others

- This "optimism bias" has been shown in the scam context – 83% of respondents to a survey of 2,000 adults indicated **that others were more likely be scammed than themselves**
- **Optimism bias is known to distort perceptions of personal risk and is associated with a lower likelihood of seeking prevention information and talking with others about risks and prevention** (This can seriously hinder prevention campaigns.
- Messages informing people that they are at risk will not necessarily overcome optimism bias

Personal experience with a negative event can reduce optimism bias in some situations

- **Secondhand experiences can have a similar effect** i.e. messaging that includes stories that vividly highlight people's experiences with scams may be beneficial.
- Messaging approaches that simulate the experience of being scammed, such as by delivering training messages when users click on links in fake phishing emails are also ok.

The false narratives and stereotypes associated with scams contribute to the challenge of getting people to believe scams can happen to them.

- **Elderly, unintelligent, uneducated, naïve, and gullible are words** used to describe people more likely to be scammed + people who experience a scam are often seen as culpable and blameworthy
- Messaging, including language and imagery, that **might perpetuate these stereotypes** and beliefs should be avoided

Scammers' Tactics Can Disrupt Reasoning

Scammers often use tactics creating a heightened emotional state. These tactics play on fear, need, excitement, and urgency, and often build on notions of scarcity

- When people are in a heightened emotional state, they **lack the cognitive resources to think critically and scrutinize information**, which results in poorer decisions (e.g. a heightened emotional state increased a person's stated also intent to buy falsely advertised items)
- **Scams that target large numbers of people** are likely to reach some whose ability to think clearly is impaired by stress or distraction at the moment of contact

People who had been taught about scammers' tactics and the value of delaying a decision and checking things out were much less likely to later engage with a fraudulent offer

- **Having another person available to talk with** can help perhaps by breaking through the individual's emotional state to allow them to see the situation more clearly.

Prevention Messages May Be Quickly Forgotten

Significant decay factor in people's retention of prevention messages

- **Short online text and video messages have persisted for at least three months** if, and only if, a reminder was provided.
- **After six-months**, people who had received the information were **no better at distinguishing between real and fraudulent investment appeals**
- Attendees of an **in-person information security tutorial were no better** at spotting phishing emails six months later than before the training
- **The effectiveness of a security awareness training are lost within a month.**

In-The-Moment Warnings Often Fail

Significant decay factor in people's retention of prevention messages

- **Visual warnings** timed or placed to be seen at the moment a risky decision may be made are commonly used in a wide range of areas, from signs at construction sites to product warning labels and computer pop-ups. But the research on these warnings is discouraging.
- **People become habituated to warnings** over time, and that this reduces their compliance with warnings
- Compliance with warnings has been found to be lower under conditions of stress
- **Contradictory information or requests from a trusted source** may reduce the effectiveness of a warning
- People who made gift card payments to scammers **saw warning signs posted in retail stores, but were coached by scammers to ignore them**. How to counteract the directions of scammers who have gained people's trust and have created a state of emotional agitation ?

Make Messages Memorable and Actionable, and Give a Reminder

Message must be both memorable and actionable at the time of the required behavior

- **Pictures to support key points** may make a **message especially memorable** – many studies have shown that **images are far more readily recalled** than words
- **Making messages more interesting** can improve recall: ease of comprehension, cohesion (i.e., clarity and organization), vividness (i.e., exciting and vivid details), engagement (i.e., thought-provoking, stimulating, and timely) and emotiveness (i.e., evokes an emotional response)
- **Campaigns should focus on what is true** (e.g., "the government will never tell you to buy gift cards") **rather** than repeating what is **false** (e.g., "scammers are telling people the government accepts gift cards").

Convey the Benefits of Heeding the Message

People will not act to reduce their risk unless they are aware of the possible consequences of not doing so and believe the consequences are serious

- some messages are **better framed in terms of what people will gain by acting rather than on the consequences of not acting.**
- For example, when the required actions have a **relatively certain benefit, people may be more persuaded by gain-framed messages**, while **loss-framed messages** may be more **effective when the benefits are more uncertain**

Consider the Effect of Commonly Held Beliefs and Values

Consider how a person's beliefs and inner narratives (i.e., mental frames) might shape their reactions when targeted by a scam.

- When people report a scam, their mental frames may have influenced whether they avoided or engaged with the scam
- These mental frames included **beliefs about how people should react to authority, how wealth is acquired, the importance of appearing intelligent among others, and beliefs around the notions of order and justice**
- The belief that asking questions shows a lack of intelligence may put people at greater risk when approached with a scam.

- Understanding people's mental frames may help in developing prevention campaigns with counternarratives

Educate About Specific Types of Scams and General Tactics

Knowledge about specific types of scams can reduce the likelihood of being defrauded

- **Anti-scam messaging campaigns may struggle** to keep up as **new scams are created**
- Forewarning people about one type of scam may not inoculate them against other scams
- Campaigns that **give general information about how scams work, and common tactics scammers deploy can help**
- **Skills-based approaches is that they may be protective** across a range of scams and even as scams evolve over time

Optimize the Design and Content of In-The-Moment Warnings

Design can improve a warning's effectiveness. Simply increasing the font size of a warning has been found to help

- Warning messages that change in format, color, and design may be more resistant to habituation
- Active warnings that interrupt a task and require the user to make a decision have been shown to be more effective than passive warnings that can simply be closed
- Warnings that gave the appearance of being specific to a particular user or transaction were less likely to be ignored
- Warnings that included **information about the consequences of ignoring the warning** were found to be more effective

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Examples of Fraud – Unbelievable but it Works

Source: Federal Trade Commission

- Spot an ad on social for a low, low price on a brand name product?
- Pay your bills, not impersonators
- Mystery shopping, (fake) checks, and gift cards
- Free money on social media ? It is a scam
- No one is using your National Number to commit crimes. It's a scam
- What Is a Romance Scam?
- Spot an ad on social for a low, low price on a brand name product? Think twice ?